Home-grown inflation: the RBA says the problem is here, not just overseas

The RBA lifted the cash rate to an 18-year high, and its governor said Australia has "a domestic home-grown inflation problem". The Treasurer points to the Middle East war. Business, the RBA and an AFR columnist point to demand the economy cannot supply, and to weak productivity.

WHAT HAPPENED

- On 3 November the RBA raised the **cash rate** by 0.25 points to **4.85%**, the fifth rise this year. The board split **six to three**.
- Governor Bullock said the rise targets **domestic capacity pressures**, which were visible before oil prices jumped. The RBA says war-related costs matter less for underlying inflation.
- The Business Council's analysis of ABS data puts **about 70%** of the inflation surge down to domestic factors, and it wants spending growth (now about 4.5%) cut by more than half.
- The RBA does **not** expect inflation back below 3% until late next year, and has built more upside risks into its forecasts. The AFR flags the AI boom, pre-election spending and the housing downturn.

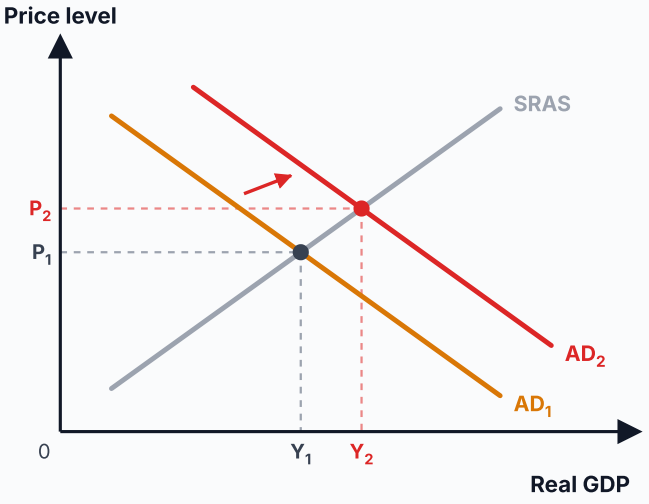
4.85%
cash rate, an 18-year high (fifth rise this year)

6–3
board vote: a third of members opposed the rise

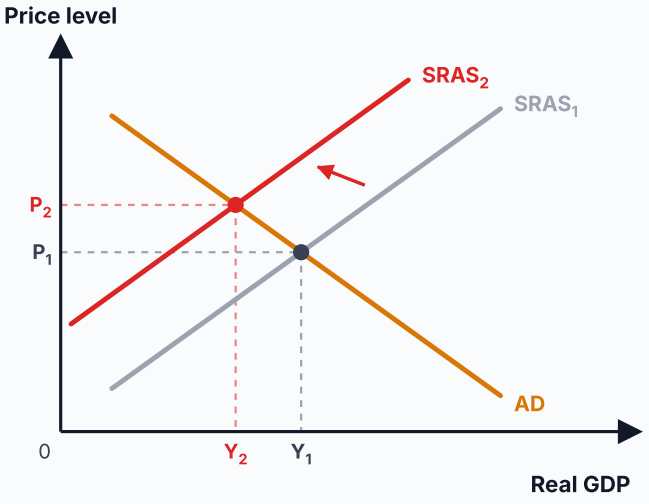
3 of 4.3
percentage points of inflation are domestic (Business Council)

$870b
projected construction pipeline in 2027, more than twice the mining-boom peak (Deloitte)

DIAGRAM **Two home-grown pressures on the price level**



Demand-pull. Data-centre, road and energy building plus government spending shift AD_1 to AD_2. The economy is near capacity, so P_1 to P_2 rises more than Y_1 to Y_2.



Cost-push. Award wage rises, falling productivity and dearer fuel raise unit costs: $SRAS_1$ to $SRAS_2$. Prices rise *and* output falls, which is why Bullock says it will feel like a recession.

Exam angle: Both shifts push P up, but they have different outcomes for output. The RBA's forecasts mix the two: higher prices with weak growth, a stagflation-style squeeze. Diagrams are not to scale.

BAR CHART **The building boom behind demand-pull**



37 data-centre projects worth **$141b** (up 36% in a year). In one quarter **$71b** of projects were added and $28b finished or scrapped (Deloitte).

Bullock: the extra demand comes from **building** the centres. About 70% of their components are **imported**, a leakage that does not add to domestic demand.

BAR CHART **Where 4.3% inflation comes from**



Business Council: three percentage points of 4.3% inflation are domestic. The 1.3 is calculated (4.3 − 3.0).

Test of "home-grown": the Fed, ECB and RBNZ all held rates recently. Bullock says Australia raised because it has a domestic problem that those countries do not.

Big exam idea: the label matters because it decides which policy can work. If inflation is mostly **imported** (a war-driven cost shock), the RBA can do little about the cause and risks over-tightening. If it is mostly **domestic demand** and weak productivity, higher interest rates (and tighter fiscal policy) are aimed at the right target, but they work with a **time lag**.

COMPARE The syllabus's four causes of inflation, matched to this week's evidence

Cause	Evidence in the articles	Who says it
Demand inflation	Data-centre and infrastructure boom; public infrastructure pipeline stronger than expected; pre-election spending by governments flagged as a risk.	Deloitte, RBA
Cost inflation	Award and minimum wage rises, labour-intensive services (e.g. eating out); labour productivity tipped to shrink this year; firms struggling to pass on higher costs.	RBA
Imported inflation	Dearer fuel, chemicals and fertiliser from the Middle East war (Brent above US$100 most of the year); AI boom lifting global prices of data centres, phones and consoles.	RBA, economists
Inflationary expectations	The RBA flags a risk that high inflation expectations become embedded: businesses raise prices and workers seek higher wages because they expect more inflation.	RBA, NAB, Barrenjoey

GOVERNMENT VIEW

The Treasurer again blamed the Middle East war for inflation and rate rises, and the government expects winter in the northern hemisphere to raise fuel demand. The Prime Minister says Bullock has cited both international pressures and domestic demand.

BUSINESS, RBA AND COLUMNIST VIEW OPINION

Business: "the chickens are coming home to roost", with productivity the core problem. Kehoe's column adds that federal spending rose from 24.3% of GDP (2022–23) to 26.9% (2025–26). Finance Minister Gallagher replies that government costs more to run (NDIS, aged care, AUKUS, interest).

FLOW CHART From home-grown demand to a rate rise

Spending and building boom lift AD → Economy near capacity, productivity falling → Underlying inflation stays above 3% → RBA lifts cash rate to 4.85% → **Borrowing costs rise; demand and house prices cool**

TIMELINE What the RBA's forecasts imply: relief is a long way off

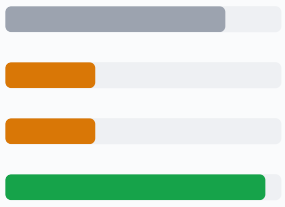
Now: Nov 2026
Cash rate 4.85%. Bullock signals the board will pause to assess, probably until next year.

Late 2027
Inflation not forecast back below 3% before then. GDP growth eases to 1.3%. Real wages fall until at least this point.

2028
Core inflation returns to the 2.5% midpoint (RBA forecast). Economist Saul Eslake sees no loosening before early 2028.

Late 2028
Unemployment drifts up to 5.1%, which the RBA's models say is needed to subdue inflation.

BAR CHART Where next for rates? Markets and economists compare notes



30 of 32 shown as 94% (calculated). Two economists, Bassanese and Hogan, still expect more rises (Hogan: a peak of 5.35%).

After the 6–3 vote the A$ slipped to about US69.8c and the 10-year bond yield fell to 5.10%, a two-month low. Markets read the split as a sign the cycle has peaked.

Economists mostly expect cuts, but **not until late next year**, because inflation is not forecast to reach the 2.5% midpoint until 2028. The RBA still treats another rise as possible.

SYLLABUS LINK

Topic 3 Inflation: causes (demand, cost, imported, inflationary expectations). **Topic 4 Monetary policy:** implementation by the RBA; impact of interest rate changes on economic activity and the exchange rate. **Key terms:** cash rate, capacity pressures, productivity, demand-pull, cost-push, inflationary expectations, leakage.

TRY THIS

1. Distinguish between demand inflation and cost inflation, using the RBA's November decision. **(4 marks)**
2. Assess the view that Australia's inflation is mainly home-grown. **(6 marks)**

Connects to: Explainer 2, why the federal budget cannot easily take pressure off the RBA; Explainer 3, how the rate rises and tax changes reach households.

Sources (AFR): RBA's ugly outlook spells tough times (J. Kehoe, 3 Nov, opinion); "Chickens coming home to roost" (P. Coorey, 4 Nov); Mega construction boom stirs RBA rate worries (M. Read, 4 Nov); The last increase: market clings to hope of interest rate peak (J. Shapiro and C. Lefort, 3 Nov); RBA rates have peaked but relief still a year away (C. Lefort, 4 Nov); Labor's economic model is broken (J. Kehoe, 4 Nov, opinion).